

are traits they possess that predispose them to fail. Investors subject to self-attribution bias perceive that investment successes are more often attributable to innate characteristics and that investment failures are due to exogenous factors.

Implications for Investors

Irrationally attributing successes and failures can impair investors in two primary ways. First, people who aren't able to perceive mistakes they've made are, consequently, unable to learn from those mistakes. Second, investors who disproportionately credit themselves when desirable outcomes do arise can become detrimentally overconfident in their own market savvy. Below we describe the pitfalls of self-serving behavior that often lead to financial mistakes.

RESEARCH REVIEW

A very pertinent discussion of self-serving bias is “Learning to Be Overconfident,” written by Terrance Odean and Simon Gervais.² They developed a model that describes how novice traders who exhibit susceptibility to self-serving bias end up unjustifiably confident in their investment skills because they tend to take inadequate degrees of responsibility for losses they've incurred. Self-attribution teaches investors to unwittingly take on inappropriate degrees of financial risk and to trade too aggressively, amplifying personal market volatility. This study revealed that while the novice investors are consistently overconfident that they can outperform the market, most fail to do so.

Gervais and Odean developed three hypotheses that are all backed by statistical data.

1. Periods of general prosperity are usually followed by periods of higher-than-expected trading volume, a trend signifying the impact of overconfidence on investor decision making.
2. During periods in which overconfidence increases trading volume, lower-than-average profits are the result.
3. Traders who are both young and successful tend to trade the most and demonstrate the most overconfidence.